

them. In an increasingly impersonal world, I have come to believe, with Howard Johnson, that success depends on a deep sense of caring for the institution by all who are affected by it.

Rule 2: Forget about Employees

At our outset in 1974, I tried to capture the spirit of our new organization by eliminating the word *employee*—a word that hardly suggested teamwork and cooperation—from our lexicon, substituting “crew member,” another nautical nod to our patron saint, Lord Nelson, and to his flagship after which our company is named. To me, an *employee* suggested someone who came in each day at nine, left promptly at five, did what he was told, kept her mouth shut, and got paid, just like clockwork, when the workweek ended. A *crew member*, while it may sound sort of, well, corny, suggested to me an excited, motivated, committed—yes, caring—person who was part of a crew in which we all worked together on a worthwhile voyage, part of a chain that could be no stronger than its weakest link. That’s the kind of crew I wanted to lead, one linked together, each dependent on the other.

Rule 3: Set High Standards and Values—and Stick to Them

Way back in 1980, at a celebration of Vanguard’s \$3 billion milestone, I called on our crew to offer “skill in what we do; imagination in what we create; integrity in what we produce; judgment in the goals we set for ourselves; courage in times of peril and good humor in adversity; and humility in accomplishment.” If I were starting over today, I would not hesitate to set those same standards.

As for values, I was determined from the outset to make human beings the focus of our firm. How often I have said over these long years that those whom we serve—and, let’s never forget, those *with* whom we serve as well—must be treated as “honest-to-God, down-to-earth human beings, all with their own hopes and fears and financial goals.” In practice, that means together serving the human